

# RXST pitch deck

## PITCH — RXST — VERDICT

**PROPOSED — PENDING ADJUDICATION** — No position at \$6.26. Both benches land on “don’t buy today”; the disagreement is over *why*, and the surviving reason is that the market has already published our headline finding. Reopen band below.

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### What we believe

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RxSight sells the Light Adjustable Lens — an artificial lens implanted during cataract surgery whose focus the surgeon can tune with a light device in the weeks after the operation. It is a real franchise: roughly \$110M/year of product sales at about 71% gross margin, an installed base of light-delivery devices in surgical practices, no debt, and no lender covenants.

The stock has fallen 53% from its 12-month high. What is left is a company whose cash roughly equals its entire stock market value. After the August quarterly filing and the July 1 receipt of Alcon’s upfront payment, cash is about \$262M against a market value of \$260M on 41,593,256 shares ([10-Q, filed 2026-08-05](#)). \$50M of that cash is refundable until roughly October 28, 2026; strip it out and firm cash is about \$212M, or \$5.10 per share.

We believe three things:

1. **The business is funded for a long time.** Real cash going out the door is about \$41M/year (the first half of 2026 used \$20.4M of operating cash). On firm cash that is a bit over five years of runway. This is not a company that has to raise money into a broken stock.
2. **Alcon’s money is bigger than it first looks.** After the refund window closes, Alcon’s non-refundable commitment is \$60M, not \$10M, and there is a further \$140M of milestone payments (\$70M feasibility, \$30M FDA submission, \$40M approval) plus a 30% royalty. None of that is in our numbers.
3. **We do not yet have a defensible view of what the business is worth.** Management withdrew guidance and will not give a new one until early 2027. Without that, any fair value we write down is a guess dressed up as arithmetic. That is a reason to wait, not a reason to buy cheap optimism.

### What the market believes

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The market believes the lens franchise is shrinking and does not know how far. Product revenue fell 19% year over year in Q2 (\$27.2M vs \$33.6M). The reported “beat” — \$33.7M total — was entirely a one-time \$6.5M license recognition from Alcon. Management pulled full-year guidance.

Seven analysts still cover it, average price target \$8.19 (low \$6.30, high \$11.00), 2027 revenue estimate \$145.1M. BofA now values the company at **0.3× enterprise value to 2027 sales**, which implies an enterprise value of about \$43M ([Investing.com](https://www.investing.com)).

That last number matters more than anything else in this deck. “You get the business for almost nothing” was our headline. It is also the published sell-side method. The market is not mispricing the cash; it is deliberately assigning the operating business a near-zero value because it cannot see the revenue trajectory either.

## Why we might have edge

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- **Burn is half what a casual read suggests.** The accounting operating loss is about \$20M a quarter, but \$7.5M of that is stock compensation (no cash leaves) and it ignores \$1.8M a quarter of interest income. Actual cash out is ~\$41M/year, ~\$0.98 per share, ~16% of the price — not the ~31% a headline-loss read produces. That difference is the whole “melting ice cube” argument, and it is wrong by 2×.
- **The Alcon deal is understated in most write-ups.** Non-exclusive, worldwide, 30% royalty, \$140M of milestones. The commonly cited “Alcon only risked \$10M” is true today and false after October 28.
- **The employee option exchange is misread as dilution.** The August 10 tender ([SC TO-1](#)) swaps 4,083,693 underwater options for restricted stock units. Executives only participate at strikes above \$10; directors are excluded. Swapping options for RSUs at any normal ratio *shrinks* the share overhang. What survives is the signal — employees are deeply underwater and the company felt it had to act.

Honest assessment of that edge: it is worth about a dollar of downside protection and a better understanding of the runway. It is not worth a position, because it does not answer the only question that sets the price — where does product revenue settle.

## Why it might be priced in

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- **The cheap-versus-cash observation is public and dated.** Three 13G/13G-A ownership filings in twenty days (August 4, August 19) and the price already up 39.7% from the \$4.48 low. We would not be buying into forced selling; we would be buying after somebody else’s bounce.
- **BofA published the near-zero enterprise value.** When the street’s own model produces our number, the number is not our finding.
- **The refund-window date is not a trade.** Nothing happens on October 28 in public. The cash arrived July 1 and has been visible since the August 5 filing. Non-termination triggers no filing and no announcement; the accounting change first appears in the Q3 10-Q, which lands on or after the earnings print. The economics are real (+\$1.20/share of permanent capital) but there is no event to race.

- **The next real number is likely bad.** 2026 revenue is inflated by \$30–40M of non-recurring Alcon recognition. Consensus 2027 revenue of \$145.1M sits on top of a product base of ~\$110M that is falling 19%. That implies roughly +30% product growth off a declining base. When guidance returns in early 2027, the anchor most likely breaks downward, not upward.

## What could go wrong

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### **Failure 1 — The 2027 guide resets the whole valuation floor, and cash stops being a floor.**

Management guides 2027 well below \$145M in early 2027. The stock does not stop at cash, because a market that stops believing in the franchise starts pricing the cash at a discount for the burn required to keep the franchise alive. We would be long a shrinking business with a five-year fuse, watching the fuse get repriced. *Tripwire exists:* the Q4/full-year release and guidance reinstatement, plus any pre-announcement 8-K. Monitorable.

**Failure 2 — Alcon’s non-exclusive license becomes a competing product, not a royalty stream.** Alcon is the largest lens franchise in the world and is developing its own adjustable line. It bought a non-exclusive worldwide license with optional milestones. The good case is \$140M of milestones and a 30% royalty. The bad case is that Alcon uses the look to build around the intellectual property, never exercises, and takes the market with distribution RxSight cannot match. *Tripwire is one-sided:* an 8-K disclosing the \$70M feasibility milestone confirms the good case, but there is no filing that announces the bad case. Silence reads identically to “still deciding.”

**Failure 3 — Surgeon preference quietly turns, and we never see it until it is in a print. (NO MONITORABLE TRIPWIRE.)** This lens is chosen by a surgeon, not a patient. Preference shifts inside a surgical community — a competing premium lens gaining word of mouth, a chair-time or reimbursement irritation, an outcome pattern discussed at meetings but never published — move through channels with no dated public venue. We have no instrument on this. The consumer-interest detector we do have reads “decaying,” but it is running on one leg (retail rank and social velocity both null) and patient search interest is a poor proxy for a physician-selected implant. The manufacturing thermal read is likewise a weak utilization proxy on a leased office and lab campus. **Unknown-unknown class: silent-channel preference shift — a demand driver whose only observable is the revenue line it eventually shows up in.** Every other version of this class (device adverse-event feeds, referral-quality proxies) has either not applied here or been retired as a tested-negative source. We should say plainly that this failure mode is unwatched, not merely under-watched.

**The reflexive and structural leg.** - *Our size versus liquidity:* a 0.25% starter is small in dollars and, on a \$260M-cap name, very unlikely to be size-constrained. But we could not measure average daily volume this session — the broker connector was denied to both benches, so we have no live quote and no price bars. Treat the “not size-constrained” claim as an estimate, not a measurement. **This is the single largest hole in the deck.** - *We would be bidding into our own predicted flow.* Our reopen level is \$5.10. The most likely path to \$5.10 is the downward guide reset we ourselves forecast. A resting order there is not a value purchase; it is an offer to be the buyer for the exact news we predicted. Either we intend that and accept it deliberately, or the level is wrong. - *Our two conditions cannot both be true.* The benches ask for price at or below \$5.10 **and** for Q3 lens units to stabilize at or above 24,917. Units

stabilizing is precisely what keeps the price above \$5.10. Paired conditions that move in opposite directions never fire together — a gate structure that never fills is indistinguishable from a decision not to own the name. We should pick one: buy the balance sheet on price weakness, or buy the recovery on evidence. Not both. - *Doctrine friction*: a \$5.10 fill would be a negative-enterprise-value purchase of a funded, high-margin franchise with bounded downside — ownable as a small starter. But “we cannot value the business until a guide exists” is a data gap, and our own rules treat a data gap as a stop, not as a discount to be sized around. Those two rules point opposite directions here, and this deck does not resolve them. Adjudication should.

**If this position loses money, the most likely reason will be that we bought a balance sheet instead of a business, and the business turned out to be shrinking faster than the cash could cover the market’s loss of patience.**

## What we checked ourselves

| Claim                                                                                                     | How checked                                                             | Found                                                                                                                                                                                                                                             | Confirmed?                                                                          |
|-----------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| Share count for all per-share math                                                                        | 10-Q cover page (fetched via proxy after sec.gov blocked direct access) | 41,593,256 shares as of 2026-07-31; the evidence pack’s series stopped at 40.7M (2025-06-30)                                                                                                                                                      | <b>Yes — pack superseded by both benches</b>                                        |
| \$60M Alcon payment is cash in hand                                                                       | 10-Q balance sheet and notes                                            | Receivable at 6/30, “subsequently received on July 1, 2026”; total current assets \$327.4M                                                                                                                                                        | <b>Yes</b>                                                                          |
| October 28 refund lapse is a tradable event                                                               | 10-Q terms; disclosure-obligation check                                 | 120 days from a 6/30/26 effective date; non-termination triggers no filing, no press release, no cash movement; first disclosed in the Q3 10-Q                                                                                                    | <b>Refuted as an event; confirmed as economics (+\$50M permanent, \$1.20/share)</b> |
| “Enterprise value goes negative”                                                                          | Cash-flow statement plus balance sheet                                  | Enterprise value is about +\$48M today, roughly +\$5M after the lapse and further burn. Not negative at \$6.26                                                                                                                                    | <b>Partly refuted</b>                                                               |
| Cash burn rate                                                                                            | 10-Q cash-flow statement                                                | ~\$41M/year cash (\$20.4M used in H1), not \$81M                                                                                                                                                                                                  | <b>Yes</b>                                                                          |
| <b>Our own bench error #1</b> — the red bench annualized the accounting operating loss as if it were cash | Blue bench recomputed                                                   | Overstated the burn ~2× (\$1.95/share vs \$0.98/share) by including \$7.5M/quarter of non-cash stock compensation and excluding \$1.8M/quarter of interest income. The “you are not paid to wait” conclusion does not survive at the correct rate | <b>Error confirmed</b>                                                              |
| <b>Our own bench error #2</b> — internal contradiction                                                    | Cross-read of red findings #1 and #2                                    | Finding #1 said the refund lapse is economically nothing; finding #2’s math used the full \$262M cash, which only exists if the lapse happens. Both cannot hold                                                                                   | <b>Error confirmed</b>                                                              |
| <b>Our own bench error #3</b> — the \$4.90 price gate label                                               | Blue bench recomputed                                                   | Labeled “0.78× firm net cash.” It is 0.78× <i>gross</i> cash per share (\$6.30). Firm net cash is \$5.10                                                                                                                                          | <b>Error confirmed</b>                                                              |

| Claim                                                                   | How checked                                      | Found                                                                                                                                                                                           | Confirmed?                                                                |
|-------------------------------------------------------------------------|--------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| <b>Our own bench error #4</b> — Alcon’s committed money                 | 10-Q Note                                        | Red omitted the \$30M FDA-submission milestone and said Alcon’s exposure is \$10M. After October 28 it is \$60M non-refundable, with \$140M of milestones total — understated roughly 6×        | <b>Error confirmed</b>                                                    |
| <b>Our own bench error #5</b> — option exchange called forward dilution | SC TO-I read directly                            | It is an option-for-RSU exchange that shrinks the overhang. The dilution argument is backwards; only the “employees are deeply underwater” signal survives                                      | <b>Error confirmed</b>                                                    |
| <b>Our own bench error #6</b> — “no street anchor exists”               | Web search                                       | The anchor exists and is retrievable: 7 analysts, average target \$8.19, 2027 revenue estimate \$145.1M. It should never have been listed as a reason to reject                                 | <b>Error confirmed</b>                                                    |
| <b>Our own bench error #7</b> — checklist discipline                    | Blue bench audit                                 | The red bench skipped five checks it was assigned and ran four it was not. None of the five would have changed the answer here (all clearly inapplicable), but the pattern is a process failure | <b>Error confirmed</b>                                                    |
| <b>Our own bench error #8</b> — attacking the weak leg                  | Blue bench audit                                 | Red spent its strength demolishing a catalyst date and never tested the actual load-bearing claim: a five-year-funded, 71%-margin installed base                                                | <b>Error confirmed</b>                                                    |
| Q2 revenue quality                                                      | 10-Q disaggregation vs. press coverage           | \$33.7M total “beat” was entirely the \$6.5M license; product sales \$27.2M, down 19%                                                                                                           | <b>Yes — and the marketed takeaway diverges from the filed disclosure</b> |
| Demand-side deterioration                                               | Consumer-interest and facility-thermal detectors | Both point down but are weak here: the consumer composite is running on one input, and the lens is chosen by a surgeon, not a patient                                                           | <b>Directionally consistent only — not decisive</b>                       |
| Live price and volume                                                   | Broker connector                                 | <b>Denied to both benches.</b> No live quote, no price bars, no volume. Every level in this deck comes from the evidence pack’s \$6.26 mark and from filing arithmetic                          | <b>No — open gap</b>                                                      |
| FY26 revenue framing                                                    | Two secondary sources                            | One source has management guiding \$140–160M including \$30–40M Alcon; another has guidance withdrawn at the same print. The benches used both without reconciling                              | <b>Unresolved — see unverified</b>                                        |

## PROPOSED ENTRY BANDS

**Today: no entry at \$6.26.** Enterprise value is about +\$48M now and +\$5M after the refund window closes; the “free business” observation is BofA’s published method, not our edge; and there is no company-supplied revenue anchor until early 2027.

**Reopen level — \$5.10 or below.** That is firm net cash of \$212M divided by 41,593,256 shares. Below it you are paid to own the operating business, the installed base, and \$140M of Alcon milestones. Bounded downside: no debt, no covenants, five-plus years of funding.

**Starter size at that level: 0.25% of the book.** A minimum starter, not a position. Justification for the small size, stated plainly: product revenue is falling 19%, we cannot value the business, and the demand-side reads are weak in both directions.

**Deeper level — \$4.90.** The red bench's number, correctly relabeled: 0.78× *gross* cash per share, roughly \$204M market value. This is where the carry cost of waiting is paid for even on the pessimistic burn read. If we scale, this is the second tranche, not the first.

**Do not chase above \$6.26.** No add levels are proposed above the current price. The 26-week high of \$8.81 and the average analyst target of \$8.19 are not our anchors; the 2027 guide is, and it does not exist yet.

**Evidence gates that would let us buy without a price break** (choose these *or* the price levels — not both, see the pre-mortem): - Q3 lens units at or above 24,917, i.e. flat-to-up sequentially. Units are roughly 90% of product revenue and are the only metric that settles the argument. - An 8-K or Alcon disclosure confirming the **\$70M feasibility milestone has been exercised**, converting an option into a commitment. - A disclosed cost reduction taking the quarterly operating loss excluding license revenue below about \$10M.

**Exits and trims:** none proposed — there is no position. If a starter is ever established at \$5.10, the pre-registered stop is a 2027 guide below \$120M total revenue, which would invalidate the “funded franchise” premise rather than merely disappoint.

**Catalyst dates:** - ~**2026-10-28** — Alcon refund window lapses (120 days from the 6/30/26 effective date). **Date is our arithmetic, not a company-stated date.** A valuation event worth \$1.20/share, explicitly **not** a trade date: no filing, no press release, no cash movement. - **2026-11-04** — Q3 print.

**Derived from a data vendor, not confirmed by any company announcement.** This is the first look at Q3 lens units and the first disclosure of the refund reclassification. - **Early 2027**

**(approximately late February / March)** — Q4 results and the reinstated guidance. **Date not announced.** This is the real catalyst and, on our read, an anti-catalyst.

## ARMED SENSORS

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(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4.9 (deck-provisional: 0.78x gross cash per share (\$6.30) — second tranche level where the wait is paid for even on the pessi)
- filing watch: 8-K until 2027-02-20 (deck-provisional: Alcon \$70M feasibility milestone exercised — converts an option into a commitment and is the strongest)
- dated pack RXST|2026-10-28: RXST: Alcon refund window lapses (120 days from 6/30/26 effective date; date is our arithmetic, not company-stated). Valuation event worth \$

- dated pack RXST|2026-11-04: RXST: Q3 2026 earnings print — vendor-derived date, no company PR names it. First look at LAL units and at the refund reclassification (date
- dated pack RXST|2027-02-25: RXST: ESTIMATED date for Q4/FY26 results and reinstated guidance (‘early 2027’ per management; no date announced). The real catalyst, and on

## What remains unverified

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1. **No live market data.** The broker connector was denied to both benches. Every price, band, and liquidity statement rests on a single vendor mark of \$6.26 plus filing arithmetic. We have no volume, no bars, and therefore no measured view of whether even a starter is size-appropriate.
  2. **The earnings date.** 2026-11-04 is vendor-derived. No company release names it.
  3. **The October 28 lapse date.** Derived from “120 days” and a 6/30/26 effective date in the 10-Q. The exact contractual day count convention is not verified.
  4. **What FY26 guidance actually is.** One cited source has management guiding \$140–160M including \$30–40M of Alcon revenue; another has guidance withdrawn at the same print. Both benches used both without reconciling them. The primary release should settle this and was not pulled.
  5. **Fair value of the operating business.** Unrangeable until the early-2027 guide. Everything in this deck values the balance sheet, not the franchise.
  6. **Whether the 19% product decline is share loss or market decline.** Management says competition. The consumer-interest detector suggests category softness. Neither read distinguishes the two, and the distinction is the difference between a fixable problem and a structural one.
  7. **The precise exchange ratio in the option tender,** which sets how much the share overhang actually shrinks.
  8. **Manufacturing footprint corroboration.** No workplace-safety establishment records were pulled for the five leased Aliso Viejo facilities; the thermal read has no independent cross-check.
  9. **Surgeon-channel demand.** Unwatched entirely — see failure narrative 3.
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